Chapter 6 VOUCHING OF CASH TRANSACTIONS – I

RPU1CP

Learning Objectives

- To understand the meaning and definition of vouching
- To be acquainted with the meaning of vouchers and its types.
- To acquire knowledge on the objectives of vouching
- To explain the procedure in regard to vouching the debit side of the cash book
- To enlighten on some aspects of vouching of cash transactions

TO BE RECALLED RECAP

From the previous unit, the following can be understood

- Meaning of Documentation.
- Importance of Documentation
- The meaning of Audit Note Book
- Advantages of Audit Note Book
- Meaning and importance of Audit Working Papers.

6.1 Vouching

6.1.1 Meaning

The process of examining the documentary evidence to ascertain the accuracy and authenticity of entries in the books of accounts by the auditor is called as 'Vouching'. Vouching means a careful inspection of all original evidences supporting the transaction e.g. invoices, statements, receipts, etc., in order to ascertain the real accuracy, authenticity and validity of the transactions. It confirms that the amount specified in the voucher has been posted to an appropriate account which will disclose the nature of the transaction. Therefore, **vouching is referred as the very essence of auditing**. It helps an auditor in establishing the truth of entries appearing in the books of accounts.

6.1.2 Definition

- According to **Ronald A Irish** – "Vouching is a technical term which refers to the inspection of documentary evidence supporting and substantiating a transaction".
- According to **J.R. Batliboi** – "Vouching means testing the truth of the terms appearing in the books of original entry".
- **Dicksee** defines vouching "as an act of comparing entries in the books of accounts with documentary evidence in support thereof".

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